REPORT TO SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

A 17% increase in wheat costs slowed the Company's growth in the second quarter. While some of this was weather-related, all agricultural commodities have been impacted by the high demand and increased prices for corn, as supply is diverted to process ethanol. Despite rising input costs, the Company achieved a modest increase in earnings and benefited from the contribution of new businesses in its growing UK Bakery operations. The Company will continue to pass through pricing as necessary to manage this major shift in food production costs.

Sales for the second quarter increased 12% to $375.7 million from $335.5 million last year, in part due to the contribution from recent acquisitions. Excluding acquisitions, sales increased 6%.

Earnings from operations for the second quarter increased 6% to $34.0 million compared to $32.2 million last year, reflecting higher earnings in the frozen bakery business and a modest decrease in fresh bakery results. This earnings increase was achieved despite significantly higher commodity costs. Net earnings for the quarter decreased 7% to $21.2 million ($0.84 per share) from $22.9 million ($0.90 per share) in the prior year due to an increase in the effective tax rate from 26.4% in 2006 to 34.7% in 2007 as the Company is now recording a full valuation allowance against tax assets recognized in its U.S. bakery business. Year-to-date net earnings before restructuring and other related costs[1] of $40.6 million ($1.60 per share) compared to $42.3 million ($1.66 per share) last year. Including restructuring and other related costs, year-to-date net earnings were $39.1 million ($1.54 per share) compared to $42.3 million ($1.66 per share) last year.

[1] This is not a recognized measure under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

Operating Review

The following table summarizes operating earnings by business segment before restructuring and other related costs:

Earnings from Operations before Restructuring and Other Related Costs

($ millions)	Second Quarter			Year-to-Date		
	2007	2006	Change	**2007**	2006	Change
Fresh Bakery	**25.8**	26.9	(4 %)	**47.8**	48.4	(1%)
Frozen Bakery	**8.2**	5.3	54%	**16.2**	11.8	38%
	34.0	32.2	6%	**64.0**	60.2	6%

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales increased 6% to $244.2 million in the second quarter from $229.8 million last year, largely due to price increases implemented last year to offset inflationary costs. Earnings from operations in the second quarter decreased by 4% principally as a result of lower earnings in the pasta business due to a significant increase in wheat and dairy costs that were not yet reflected in higher prices. Margins in the other Fresh Bakery operations were also pressured by higher wheat costs. In response, management anticipates price increases through the balance of the year. Growth in high margin value-added categories, improvements in operating efficiencies across a number of fresh bakery plants and pricing implemented earlier in the year helped to partially offset higher raw material costs as well as some continued industry-wide volume decline in the fresh bread segment.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales in the second quarter increased 24% to $131.6 million from $105.7 million last year. A significant portion of the increase reflected the contributions from acquisitions in the United Kingdom in the fourth quarter last year. Excluding acquisitions, sales increased 4% in the second quarter as a result of growth in the UK bagel business and price increases in North America. Earnings from operations increased 54% to $8.2 million in the second quarter from $5.3 million last year. The U.K. bakery operations recorded another strong quarter, benefiting from the contribution of acquisitions and continued organic growth. This increase in the U.K. earnings was able to support a significantly increased investment in advertising. The Company is currently expanding its freezer capacity at its Rotherham, England bakery to increase production capabilities. This expansion, together with investments to increase capacity at its croissant operations, will support ongoing growth in the UK specialty bakery market. The profitability of the Company's North American frozen bakery operations also increased, reflecting price increases implemented in 2007. The Roanoke plant, which is the Company's largest par-baked facility, is undertaking a major warehouse expansion that will significantly expand its storage capacity and will reduce costs.

Cash Flow and Financing

Cash flow from operating activities of $37.2 million for the second quarter compared to $26.0 million in the prior year period, primarily as a result of improvements in net working capital balances. Year-to-date cash flow from operating activities was $57.2 million, an improvement of $36.6 million over the prior year results.

Interest expense for the second quarter was $1.4 million compared to $1.1 million last year as a result of increased debt incurred to finance acquisitions in 2006.

Capital expenditures on plant and equipment for the second quarter were $30.9 million compared to $10.4 million last year. This significant increase in capital expenditures reflects a substantial capacity expansion in the UK croissant facilities and the construction of a new warehouse at the Company's bakery in Roanoke, Virginia to increase internal capacity and reduce warehousing and distribution costs. In the second quarter, Canada Bread acquired the Interstate Bakery assets located in Lakewood, Washington for US$10 million, including a manufacturing facility and fresh bakery equipment. The Company is considering several options to utilize this purchase to continue to improve efficiencies in its western manufacturing operations.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information for the ten interim periods ended June 30, 2007 (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Total
Sales	**2007**	$ 358,337	**$ 375,723**			**$ 734,060**
	2006	301,564	335,545	$ 342,344	$ 355,479	1,334,932
	2005	289,376	314,280	314,518	308,832	1,227,005
Net earnings	**2007**	$ 17,910	**$ 21,225**			**$ 39,135**
	2006	19,397	22,880	$ (2,715)	$ 13,988	53,550
	2005	11,885	21,262	23,038	18,737	74,922
Net earnings before	**2007**	$ 19,415	**$ 21,225**			**$ 40,640**
restructuring and other	2006	19,397	22,880	$ 18,503	$ 17,711	78,491
related costs	2005	15,104	21,262	23,038	18,737	78,141
Earnings per Share	**2007**	$ 0.70	**$ 0.84**			**$ 1.54**
Basic	2006	$ 0.76	$ 0.90	$ (0.11)	$ 0.55	2.11
	2005	0.47	0.84	0.91	0.74	2.95
Basic before restructuring	**2007**	$ 0.76	**$ 0.84**			**$ 1.60**
and other related	2006	0.76	$ 0.90	$ 0.73	$ 0.70	3.09
costs	2005	0.59	0.84	0.91	0.74	3.07
Diluted	**2007**	$ 0.70	**$ 0.84**			**$ 1.54**
	2006	0.76	$ 0.90	$ (0.11)	$ 0.55	2.11
	2005	0.47	0.83	0.90	0.74	2.93

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Changes in Accounting Policies

Effective January 1, 2007 the Company adopted the new Canadian accounting standards for financial instruments. The adoption of these new standards requires the Company to calculate a new balance sheet account called accumulated other comprehensive income. This account includes (i) the unrealized foreign currency translation adjustment, and (ii) unrealized gains (losses) on cash flow hedges net of tax. On transition, the Company recorded $0.2 million in accumulated unrealized losses related to cash flow hedges as at January 1, 2007. During the first six months of 2007, the Company recorded other comprehensive losses of $8.2 million, primarily related to changes in accumulated foreign currency translation. As at the end of the second quarter, the accumulated other comprehensive income balance was a loss of $13.6 million.

Derivatives

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the quarter would have been lower by $1.3 million (2006: lower by $0.3 million) and lower by $1.0 million on a year-to-date basis (2006: lower by $0.6 million). Without these contracts, interest expense for the second quarter of 2007 would have been higher by $1.0 million (2006: higher by $0.8 million) and higher by $1.9 million on a year-to-date basis (2006: higher by $1.5 million).

New Accounting Pronouncements

In May 2007 the Accounting Standards Board issued Handbook Section 3031 “Inventories”. The standard introduces changes to thee measurement and disclosure of inventory and converges with the international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company has not yet determined the impact the adoption of this standard will have on its financial statements.

Forward-Looking Statements

This document may contain forward-looking information within the meaning of applicable securities legislation. Forward looking information is based upon a number of assumptions and is subject to a number of risks and uncertainties, many of which are beyond the Company's control, that could cause actual results to differ materially from those that are disclosed in or implied by such forward looking information. Any forward-looking information in this press release speaks as of the date of this press release. Canada Bread does not undertake to update any such forward-looking information whether as a result of new information, future events or otherwise. Additional information about these assumptions and risks and uncertainties is contained in the filings with securities regulators including the annual information form and Management's Discussion and Analysis accompanying the financial statements in the reports to shareholders. These filings are available on the Company's website at www.canadabread.ca.

Other Matters

On July 25, 2007, the Company declared a dividend of $0.06 per share payable on October 1, 2007 to shareholders of record on September 14, 2007. Unless indicated otherwise in writing at or before the time the dividend is paid, each dividend paid by the Company in 2007 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Canada Bread, which is 88.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2006 sales of $1.3 billion and employs approximately 8,700 people at its operations across North America and in the United Kingdom.